



Project Kids

Financial Due Diligence

June 15, 2018

Important notice

This report is provided to VPCP Management L.P. ("Client") on a confidential basis pursuant to our engagement letter dated May 7, 2018 ("Engagement Agreement") and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client's benefit and its own use. KPMG LLP ("KPMG") does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient's sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG.



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Private and confidential

Mr. Seth Cohen
VPCP Management, L.P.
510 Madison Avenue, 25th floor
New York, NY 1022

June 15, 2018

Dear Mr. Cohen:

We have substantially completed our procedures to assist VPCP Management, L.P. ("Client" or "you") in performing due diligence in connection with your prospective acquisition (the "Transaction") of Amazing Athletes (the "Company" or "Target"), in accordance with the terms of our engagement letter dated May 7, 2018, including its Terms and Conditions for Advisory and Tax Services.

Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of your prospective acquisition of Target. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions with Target Management and its advisors. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data that you have identified as being of concern to you.

Basis of Information

The engagement letter describes the procedures we were to perform. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was received up to June 14, 2018, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to June 14, 2018. We have reviewed this report with Target management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

KPMG



Glossary

\$ / USD	United States dollars	EBITDA	Earnings before interest, tax, depreciation, and amortization
\$'000	Thousands of United States dollars	FYXX	Fiscal year ended December 31, 20XX
AA Advertising	Amazing Athletes Advertising	HOA	Homeowners' Association
AA Inc.	Amazing Athletes, Inc.	IS	Income statement
AA Sports	Amazing Athletes Sports Store	Mgmt	Management
AAFS	Amazing Athletes Franchise Systems, Inc.	P&L	Profit & loss statement
AP	Accounts payable	QB	QuickBooks
AR	Accounts receivable	QoE	Quality of Earnings Amazing Athletes Franchise Systems, Inc. and Amazing Athletes, Inc.
BD	Business Development	Target / Company	
CEO	Chief Executive Officer	TTM	Trailing twelve months
Client	VPCP Management, LP	US	United States
COGS	Cost of goods sold	US GAAP	Generally Accepted Accounting Principles in the US
DIO	Days inventory outstanding	YoY	Year over Year
DPO	Days payables outstanding	YTD	Year to date
DSO	Days sales outstanding		

The currency figures in this report are stated in USD unless otherwise noted.
Our report makes reference to "KPMG analysis". This indicates only that KPMG has undertaken certain analytical procedures on the underlying data to arrive at the information presented. We do not accept responsibility for the underlying data.

Contents

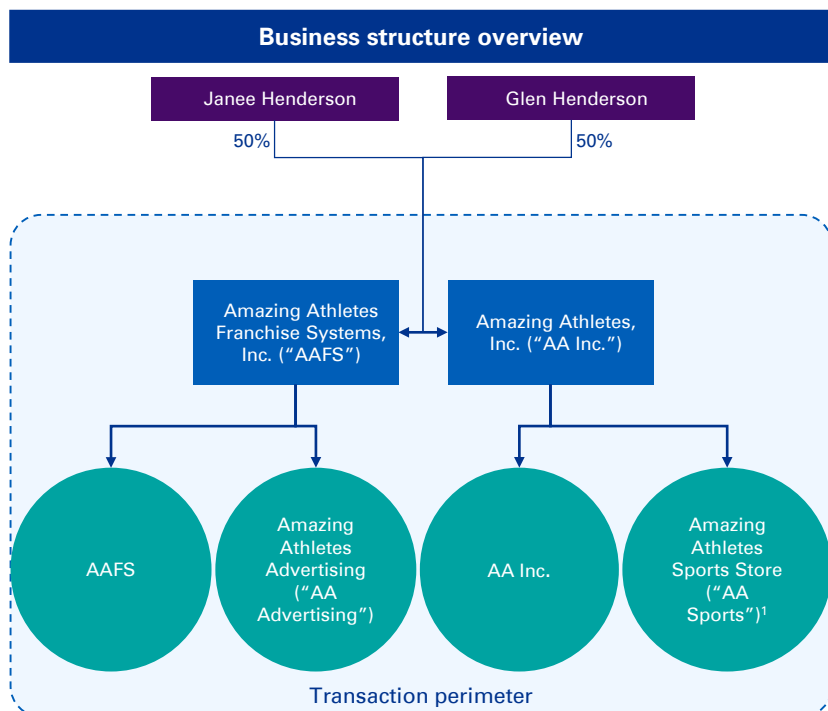
	Page
Executive summary	
— Business overview	7
— Summary income statement	8
— Key findings	9
Supporting analysis to key findings	
— Quality of Earnings	16
Appendices	21



Executive summary

Executive summary

Business overview



Business overview

- Amazing Athletes Franchise Systems, Inc. and Amazing Athletes, Inc. (collectively, the "Company") compose a franchise business that operates in the early childhood education enrichment market. The Company was founded by Janee and Glen Henderson in Franklin, Tennessee in 2003 and brought in its first franchised provider in 2006.
- The Company's line of programs is structured around the development of children aged 18 months through 12 years in the following areas: intellectual, financial, physical, social, individual, and emotional. These programs include:
 - **Amazing Athletes:** Developmental physical fitness program for children aged 2 ½ to six years, which exposes them to nine different sports as well as learning about healthy foods;
 - **Amazing Tots:** Program that helps children 18 months to 2 ½ years engage in structured physical activity;
 - **Amazing Athletes Training Academy:** Cross-training, game-based sports program for children in kindergarten through to the fifth grade; and
 - **Events:** Include summer camps and birthday parties.
- The Company has over 100 franchisees across 28 states.

Information overview and access

- The analysis in this report is prepared based on the following sources of information:
 - Management information: Internal statements and other supporting documentation;
 - Discussions with the Company's advisor by conference calls; and
 - Unaudited transaction-level detail generated from QuickBooks.

Executive summary

Summary income statement

The adjacent table presents the combined income statement of the Company prepared under cash basis accounting.

The Company does not maintain or prepare balance sheet information.

The Company's combined financial results were unaudited with a fiscal year end of December 31. However, AAFS legal entity's FY16 and FY17 financial statements were prepared in accordance with US GAAP, the results for which were audited by Holmes CPA PLLC.

Income statement		
\$'000	FY16	FY17
Sales		
Existing franchises	633	680
Merchandise	418	358
Consulting fee income	-	243
New franchises	308	184
Advertising fund	161	163
Sales	1,522	1,629
COGS	(71)	(45)
Gross profit	1,450	1,584
SG&A		
Consulting fees	(39)	(452)
Payroll expenses	(290)	(322)
Insurance expense	(76)	(92)
Rent expense	(105)	(72)
Advertising and promotion	(159)	(69)
Travel expense	(135)	(58)
Computer & internet expenses	(25)	(56)
Automobile expense	(47)	(39)
Bank service charges	1	(36)
Office supplies	(61)	(34)
Tax	(21)	(33)
Dues & subscriptions	(23)	(32)
Professional fees	(26)	(26)
Meals & entertainment	(45)	(25)
Other	(320)	(100)
SG&A	(1,371)	(1,447)
Net income / (loss)	80	137

Source: QuickBooks transaction details provided by Management

Basis of presentation

- The adjacent operating results are based on transaction-level details internally produced by the Company's QuickBooks system.
- These results represent an aggregation across the Company's four reporting entities: Amazing Athletes Franchise Systems, Inc. ("AAFS"), Amazing Athletes, Inc. ("AA Inc."), Amazing Athletes Advertising ("AA Advertising"), and Amazing Athletes Sports Store ("AA Sports"). Beginning Apr-17, AA Sports results were combined with AA Inc.
- The majority of the analysis in this report related to the Company is based on this income statement.
- All figures are presented in USD, unless otherwise noted.

Executive summary

Key findings (1/6)

Issue	Summary observations	Key analysis																																													
Quality of Earnings FY17 reported EBITDA of \$137k increased to \$778k subsequent to Management and potential adjustments identified.	- The table below summarizes EBITDA subsequent to potential adjustments for FY16 and FY17: <table border="1"> <thead> <tr> <th colspan="3">Quality of Earnings</th></tr> <tr> <th>\$'000</th><th>FY16</th><th>FY17</th></tr> </thead> <tbody> <tr> <td>Sales, reported</td><td>1,522</td><td>1,629</td></tr> <tr> <td>Total Management adjustments</td><td>(0)</td><td>(243)</td></tr> <tr> <td>Sales, Management adjusted</td><td>1,521</td><td>1,386</td></tr> <tr> <td>Total potential adjustments</td><td>(26)</td><td>(18)</td></tr> <tr> <td>Sales, potentially adjusted</td><td>1,495</td><td>1,368</td></tr> <tr> <td>EBITDA, reported</td><td>124</td><td>137</td></tr> <tr> <td>EBITDA margin, reported</td><td>8.2%</td><td>8.4%</td></tr> <tr> <td>Total Management adjustments</td><td>781</td><td>718</td></tr> <tr> <td>EBITDA, Management adjusted</td><td>905</td><td>855</td></tr> <tr> <td>EBITDA margin, Management adjusted</td><td>59.5%</td><td>61.7%</td></tr> <tr> <td>Total potential adjustments</td><td>(95)</td><td>(77)</td></tr> <tr> <td>EBITDA, potentially adjusted</td><td>811</td><td>778</td></tr> <tr> <td>EBITDA margin, potentially adjusted</td><td>54.2%</td><td>56.8%</td></tr> </tbody> </table> Source: QuickBooks transaction details provided by Management; KPMG analysis - Significant Management EBITDA adjustments in FY17 include the following: Remove personal expenses borne by the Company (increase of \$407k): Represents the current owners' personal expenses that ran through the business, including personal health insurance, non-business travel, personal automobile expenses, and others. Add back owner compensation (increase of \$313k): Represents total compensation removed from EBITDA for the current owners, Janee and Glen Henderson. Record missing COGS (decrease of \$90k): Represents COGS that Management failed to record due to erroneous accounting. - Significant potential EBITDA adjustments in FY17 include the following: CEO & Controller compensation (decrease of \$100k): Represents the incoming CEO & Controller's salary, which is assumed to be \$100k, given that these positions were previously held by the current owners. Run-rate payroll expenses (increase of \$32k): Represents true up to actual payroll costs for all remaining employees in the business going forward.	Quality of Earnings			\$'000	FY16	FY17	Sales, reported	1,522	1,629	Total Management adjustments	(0)	(243)	Sales, Management adjusted	1,521	1,386	Total potential adjustments	(26)	(18)	Sales, potentially adjusted	1,495	1,368	EBITDA, reported	124	137	EBITDA margin, reported	8.2%	8.4%	Total Management adjustments	781	718	EBITDA, Management adjusted	905	855	EBITDA margin, Management adjusted	59.5%	61.7%	Total potential adjustments	(95)	(77)	EBITDA, potentially adjusted	811	778	EBITDA margin, potentially adjusted	54.2%	56.8%	Pages 16-20
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Executive summary

Key findings (2/6)

Issue	Summary observations	Key analysis
Finance function and financial reporting	■ The Company's accounting records are maintained by Glen Henderson, Co-Founder and CEO. ■ There are no closing procedures. At year-end, Glen sends the Company's financial results to their accountant for tax filing purposes. ■ Janee Henderson (Co-Founder and President of Franchise Sales / Support) and Glen Henderson are the only individuals permitted to write checks. Aside from this process, bank reconciliations are not prepared and no other internal controls are followed. ■ The Company uses QuickBooks ("QB") as its accounting software which gives the option to produce financial information on either a cash or accrual basis. Management uses the QB cash basis income statement to measure the performance of the business and for its income tax filings. – Under QB cash basis financial reporting, sales are recognized upon the Company collecting cash from its franchisees and expenses are recognized when vendors are paid. – To the extent a significant sale is made in one fiscal year and paid by the customer in the next – or a significant expense is incurred in one fiscal year and paid to the vendor in the next – the cash basis income statement may be materially different from those prepared under the accrual basis. ■ Over the historical period, the Company used the following entities for internal reporting purposes: – Amazing Athletes Franchise Systems, Inc. ("AAFS"): Records royalties and technology maintenance fees collected from franchisees (among other sources of revenue) as well as a majority of the Company's SG&A expenses; – Amazing Athletes Advertising ("AA Advertising"): Records the National Advertising Fees ("NAF") collected from franchisees and the corresponding advertising and promotional expenditures. – Amazing Athletes, Inc. ("AA Inc."): Records merchandise sales (i.e. equipment, uniforms, brochures, etc.) to the franchisees and inventory purchases from third party vendors. – Amazing Athletes Sports Store ("AA Sports"): Records merchandise sales and inventory purchases from third party vendors. Beginning Apr-17, AA Sports' results were combined with AA Inc.	n.a.

Executive summary

Key findings (3/6)

Issue	Summary observations	Key analysis
Data limitations and other considerations	■ Data limitations and other considerations are listed below. We recommend you be cognizant of these areas while contemplating the proposed transaction. – The Company does not prepare or maintain a balance sheet. Further, since the Company follows cash basis accounting, net working capital items including AR, inventory, and AP are not separately analyzed. Refer to Appendix 3 for an indicative working capital build-up. – Management does not track transactions relating to the Company's bi-annual conferences. As such, we were unable to effectively isolate the financial impact these conferences have had on the Company. – As is common with smaller, owner-managed business with few employees, there is a lack of internal controls at the Company. The majority of the financial aspects of the Company are handled by Glen Henderson (CEO and 50% owner), which may suggest an absence of segregation of duties. This may make error detection/prevention in financial reporting difficult. – The Company's combined financial results are not audited and QB is maintained by users who do not have accounting backgrounds. During our diligence of the Company, we analyzed various accounting treatments that made it challenging to assess the normal course operations of the Company including, but not limited to: ➢ Recording inventory as a capital asset; when it was subsequently sold, it was not relieved from the balance sheet resulting in sales recognized at a gross margin of 100%; ➢ Settling outstanding credit cards by recording an expense to the income statement rather than offsetting the corresponding liability on the balance sheet; ➢ The owners paying themselves and their children through various methods, including payroll, consulting fees, management fees, rent, and advertising & promotion as well as indirectly via a related party; ➢ Recording an extensive amount of personal / non-operating expenses across the SG&A captions; and ➢ Inconsistent tracking and elimination of intercompany transactions. These items have been addressed in the QofE analysis.	n.a.

Executive summary

Key findings (4/6)

Issue	Summary observations	Key analysis
Revenue streams	■ The Company's main revenue streams include the following: – Initial franchise fee ("IFF"): The initial franchise fee is \$25k. If an owner is awarded more than one franchise opportunity, the IFF is reduced to \$20k for the second franchisee and \$15k for the third and subsequent franchisees. Management stated that the majority of franchisees will pay the entire IFF up front, but there are cases where a franchisee will pay a portion up front and the balance over the following six to 12 months. - According to Management, there have not been any issues collecting the IFF from the franchisees over the Historical Period. Management represents there is currently one franchisee who is two months behind in payments, however, they are continuing to make their payments. – Flat royalty: Royalties are not dependent on gross sales generated by the franchised business. Instead, they are payable to the Company based on the criteria below: ➢ For the first six months, equal to the greater of either the highest tuition paid by one child at each of the franchisees' locations or \$40 per location per month; ➢ Beginning in the seventh month, equal to the greater of either the highest tuition paid by one child at each of the franchisees' locations or \$500 per month; and ➢ Beginning in the 13th month, equal to the greater of either the highest tuition paid by one child at each of the franchisees' locations or \$600 per month for the duration of the contract. - Royalties are payable on the second day of the month following the month in which the franchisees' services were provided. Franchisees typically send the Company a royalty summary sheet and a check at the beginning of each month for Glen to enter into QB. – National Advertising Fee ("NAF"): Each franchisee is required to pay the Company \$150 per month. These proceeds are used by the Company to promote or enhance the services provided by the franchisees and to sell additional franchises. Refer to the next Executive Summary section for further details on the NAF. The Company invoices this fee on a monthly basis to be paid with the flat royalty. – Technology maintenance fee: Each franchisee is required to pay the Company \$50 per month to maintain their presence on the Company's website. This fee is also used to maintain the franchisee's access to the "AA Back Office Platform", a portal that assists with event planning, class management, and the creation and delivery of required reports. The Company invoices this fee on a monthly basis to be paid with the flat royalty. – Merchandise sales: Includes selling equipment and inventory (e.g. uniforms and marketing materials) to franchisees. Sales of this nature are invoiced upon shipping the inventory.	n.a.

Executive summary

Key findings (5/6)

Issue	Summary observations	Key analysis
National Advertising Fee ("NAF")	<	

Electronic marketing spending increased from FY16 to FY17 due to one-time costs incurred to re-design the Company's website in FY17. These costs were expensed to the P&L in FY17 and adjusted for in Management adjustment #4

AANC (Amazing Athletes National Conference) represents costs incurred at the Company's bi-annual conferences. Spending decreased from FY16 to FY17 as no conference was held in FY17.

It should be further noted that the \$21k in FY17 includes approximately \$14k of prepaid expenses for the 2018 AANC, which has been adjusted for in Management adjustment #6.

Executive summary

Key findings (6/6)

Issue	Summary observations	Key analysis
Bi-annual conferences	■ The Company holds a bi-annual conference with its franchisees, the most recent one occurring on June 26, 2016 with the next one scheduled for June 23, 2018. ■ Management stated that merchandise sales are typically higher during the conferences as the Company has greater exposure and easier access to the franchisees. Further, the Company often uses these conferences to introduce new initiatives or types of merchandise that the franchisees are required to pay for. – During the 2016 bi-annual conference, the Company introduced a program that required franchisees to purchase new equipment for their classes. As part of the program, the equipment must be replaced every two years at a cost to the franchisee of \$2,500 per location. According to Management, the 2018 conference will be the first time contractually enforcing the replacement of equipment. – Further, there has since been a change to the Company logo. As such, franchisees will be required to purchase new print materials (the Company's highest margin product), t-shirts, equipment, and other merchandise that reflects the logo. Management represents the franchisees are unaware of this development, but should not be surprised when they learn of the goods that must be purchased. ■ You should consider the consequences that these new requirements will have on the business going forward if relationships with certain franchisees become strained.	n.a.
IFF revenue	■ Reported IFF revenue decreased from \$308k in FY16 to \$184k in FY17 driven by fewer franchises opening in FY17 (11 and 7 new openings in FY16 and FY17, respectively). According to Management, there were three franchise locations that planned to open in Q4-17, but were delayed until Q1-18. ■ Given the significance of this fee on a per location basis relative to other sources of revenue and the IFF's inherently high gross margin, you should consider the EBITDA impact if the number of new locations declines going forward.	n.a.
Intercompany NAF spending	■ AA Advertising purchases advertising and promotional items (e.g. brochures and other marketing materials) from AA Inc. at a mark-up. According to Management, this is a permitted use of advertising funds pursuant to the Franchise Disclosure Document. ■ Intercompany transactions of this nature totaled approximately \$30k in FY16 and \$5k in FY17, however, the embedded profit margin is unknown. ■ We recommend your legal counsel assess whether this spending is acceptable under the Franchise Disclosure Document. Further, you should consider how this treatment would be perceived by franchisees if they understood the NAF was not being fully allocated to 3rd party advertising expenditures.	n.a.



Supporting analysis to key findings

Quality of Earnings analysis

Supporting analysis

Quality of Earnings (1/5)

Quality of Earnings		
\$'000	FY16	FY17
Sales, reported	1,522	1,629
Total Management adjustments	(0)	(243)
Sales, Management adjusted	1,521	1,386
Total potential adjustments	(26)	(18)
Sales, potentially adjusted	1,495	1,368
Net income / (loss), reported	80	137
Add / (deduct)		
Interest	-	-
Deprecation & amortization	45	-
Income taxes	-	-
EBITDA, reported	124	137
<i>EBITDA margin, reported</i>	<i>8.2%</i>	<i>8.4%</i>
Total Management adjustments	781	718
EBITDA, Management adjusted	905	855
<i>EBITDA margin, Management adjusted</i>	<i>59.5%</i>	<i>61.7%</i>
Total potential adjustments	(95)	(77)
EBITDA, potentially adjusted	811	778
<i>EBITDA margin, potentially adjusted</i>	<i>54.2%</i>	<i>56.8%</i>

Source: QuickBooks transaction details provided by Management; KPMG analysis

The Quality of Earnings schedule above illustrates potential EBITDA adjustments and other factors to be considered which were identified for the fiscal years ended Dec-16 and Dec-17.

The proposed adjustments are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed adjustments.

Overview

- The quality of earnings analysis is prepared based on the following sources of information:
 - Monthly management accounts;
 - Additional supporting information provided by Management; and
 - Discussions held with Management's advisor.
- The nature of adjustments included in the QofE analysis are as follows:
 - **Management adjustments:** Management's view of adjusted EBITDA was based on analysis prepared by their advisor. According to Management's advisor, if a particular transaction was deemed to be non-recurring (i.e. would not occur or be considered an operating expense post-transaction), it was removed from EBITDA. If the advisor could not identify the nature of a transaction, its impact was not removed from EBITDA; and
 - **Potential adjustments:** Assessment of Management adjustments and other non-recurring items identified during the course of our diligence.

Supporting analysis

Quality of Earnings (2/5)

Quality of Earnings		
\$'000	FY16	FY17
Sales, reported	1,522	1,629
Management adjustments		
7 Eliminate intercompany sales	(0)	(243)
Total Management adjustments	(0)	(243)
Sales, Management adjusted	1,521	1,386
Total potential adjustments	(26)	(18)
Sales, potentially adjusted	1,495	1,368
EBITDA, reported	124	137
EBITDA margin, reported	8.2%	8.4%
Management adjustments		
1 Remove personal expenses borne by the Company	479	407
2 Add back owner compensation	368	313
3 Record missing COGS	(66)	(90)
4 Add back non-recurring website design costs	-	44
5 Remove erroneous bank service charges	-	32
6 Capitalize prepaid conference expenses	-	14
7 Eliminate intercompany transactions	(0)	(6)
8 Add back non-recurring professional fees	-	5
Total Management adjustments	781	718
EBITDA, Management adjusted	905	855
EBITDA margin, Management adjusted	59.5%	61.7%
Total potential adjustments	(95)	(77)
EBITDA, potentially adjusted	811	778
EBITDA margin, potentially adjusted	54.2%	56.8%

Source: QuickBooks transaction details provided by Management; KPMG analysis

Management adjustments

The following are adjustments to EBITDA identified by Management.

- 1. Remove personal expenses borne by the Company:** Represents non-operating expenses incurred by the Company that Management added back to EBITDA. Please see Appendix 2 for a breakdown of these personal costs.
- 2. Add back owner compensation:** Represents compensation paid to Janee and Glen Henderson either directly through the Company or indirectly via Progressive Fitness Group, Inc. ("Progressive"), a related party under common ownership. Management added back these expenses as they will not continue post transaction. Owner distributions were made via payroll, consulting fees, management fees, and rent as detailed in the table below. Refer to potential adjustment #12 for the current owner's replacement cost estimates.

Add back owner compensation		
\$'000	FY16	FY17
Recorded to payroll	158	163
Recorded as consulting fees	-	150
Recorded as management fees	150	-
Recorded as rent expense	60	-
Total add-back	368	313

Source: QuickBooks transaction details provided by Management; KPMG analysis

- 3. Record missing COGS:** The Company recorded certain orders of inventory (including t-shirts, brochures and flyers, and sports equipment) to the balance sheet as capital assets rather than expensing them in accordance with cash basis accounting. Upon selling this inventory to franchisees, nothing was relieved from the balance sheet (as it is not maintained by Management) resulting in sales recognized at a gross margin of 100%. Therefore, this adjustment records the missing COGS. Refer to potential adjustment #13 for the COGS true-up to supporting vendor invoices.

Supporting analysis

Quality of Earnings (3/5)

Quality of Earnings		
\$'000	FY16	FY17
Sales, reported	1,522	1,629
Management adjustments		
7 Eliminate intercompany sales	(0)	(243)
Total Management adjustments	(0)	(243)
Sales, Management adjusted	1,521	1,386
Total potential adjustments	(26)	(18)
Sales, potentially adjusted	1,495	1,368
EBITDA, reported	124	137
<i>EBITDA margin, reported</i>	<i>8.2%</i>	<i>8.4%</i>
Management adjustments		
1 Remove personal expenses borne by the Company	479	407
2 Add back owner compensation	368	313
3 Record missing COGS	(66)	(90)
4 Add back non-recurring website design costs	-	44
5 Remove erroneous bank service charges	-	32
6 Capitalize prepaid conference expenses	-	14
7 Eliminate intercompany transactions	(0)	(6)
8 Add back non-recurring professional fees	-	5
Total Management adjustments	781	718
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Source: QuickBooks transaction details provided by Management; KPMG analysis

Management adjustments (continued)

- Add back non-recurring website design costs:** This add-back relates to one-time costs incurred to re-design the Company's website that was completed in Dec-17.
- Remove erroneous bank service charges:** This adjustment corrects transactions that erroneously impacted EBITDA. Upon paying the Company's credit card bill, the owner recorded a net expense rather than offsetting the corresponding credit card payable. As such, Management excluded payments of this nature from EBITDA.
- Capitalize prepaid conference expenses:** This adjustment adds back prepaid costs for the June 23, 2018 bi-annual conference that were recorded as an expense in FY17. These expenses primarily included conference hotel bookings and conference speaker reservations. Refer to further discussion on the bi-annual conference within the Key Findings section of the report.
- Eliminate intercompany transactions:** Management eliminated intercompany sales of \$243k and intercompany expenses of \$237k. This resulted in a net negative impact to EBITDA of \$6k. Refer to potential adjustment #12 for the proper elimination of intercompany transactions. These transactions were tied back to QuickBooks transaction level data, using the transaction descriptions.
- Add back non-recurring professional fees:** Relates to non-recurring professional fees paid to Seller's advisors for the proposed transaction.

Supporting analysis

Quality of Earnings (4/5)

Quality of Earnings		
\$'000	FY16	FY17
Sales, reported	1,522	1,629
Total Management adjustments	(0)	(243)
Sales, Management adjusted	1,521	1,386
Potential adjustments		
11 Remove non-operating related party sales	-	(10)
12 Exclude intercompany sales not eliminated by Management	(26)	(8)
Total potential adjustments	(26)	(18)
Sales, potentially adjusted	1,495	1,368
EBITDA, reported	124	137
EBITDA margin, reported	8.2%	8.4%
Total Management adjustments	781	718
EBITDA, Management adjusted	905	855
EBITDA margin, Management adjusted	59.5%	61.7%
Potential adjustments		
9 CEO & Controller compensation	(100)	(100)
10 Run-rate payroll expenses	5	32
11 Remove non-operating related party transactions	-	(10)
12 Exclude intercompany transactions not eliminated by Management	0	6
13 COGS true-up	-	(6)
Total potential adjustments	(95)	(77)
EBITDA, potentially adjusted	811	778
EBITDA margin, potentially adjusted	54.2%	56.8%
Other considerations		
a. Bi-annual conferences	n.q.	n.q.
b. New lease costs	n.q.	n.q.

Source: QuickBooks transaction details provided by Management; KPMG analysis

Potential adjustments

The following are potential adjustments to Management adjusted EBITDA identified during due diligence:

- CEO & Controller compensation:** The roles of CEO and Controller are currently being executed by owners, Janee and Glen Henderson. As all compensation paid to Janee and Glen was removed as part of Management adjustment #2, this amount represents the estimated combined compensation for positions of this nature.
- Run-rate payroll expenses:** Employee 2 (Creative Director) and Employee 3 (Director of Marketing) were hired by the Company in Nov-17 and Mar-17, respectively. According to Management, these employees replaced an administrative assistant and an independent contractor in charge of graphic advertising and design, both of whom worked at the Company over the Historical Period. Therefore, this adjustment reflects the run-rate payroll costs as if Employees 2 and 3 were hired in Jan-16 and the individuals they replaced had never worked at the Company.

Refer to the table below for the calculation of these run-rate costs for Employees 2 and 3, in addition to Employees 1 and 4 (who have been with the Company over the Historical Period), based on net pay amounts and payroll taxes from the 2017 ADP payroll registers.

Run-rate payroll expenses		
\$'000	FY16	FY17
Run-rate net pay		
Employee 1	(30)	(30)
Employee 2	(26)	(26)
Employee 3	(23)	(23)
Employee 4	(48)	(48)
Total run-rate net pay	(127)	(127)
Payroll taxes @ 13.2% of net pay	(17)	(17)
Total run-rate personnel costs	(144)	(144)
Personnel costs, Management adjusted	(149)	(176)
Potential impact	5	32

Source: ADP payroll registers; KPMG analysis

Supporting analysis

Quality of Earnings (5/5)

Quality of Earnings		
\$'000	FY16	FY17
Sales, reported	1,522	1,629
Total Management adjustments	(0)	(243)
Sales, Management adjusted	1,521	1,386
Potential adjustments		
11 Remove non-operating related party sales	-	(10)
12 Exclude intercompany sales not eliminated by Management	(26)	(8)
Total potential adjustments	(26)	(18)
Sales, potentially adjusted	1,495	1,368
EBITDA, reported	124	137
<i>EBITDA margin, reported</i>	<i>8.2%</i>	<i>8.4%</i>
Total Management adjustments	781	718
EBITDA, Management adjusted	905	855
<i>EBITDA margin, Management adjusted</i>	<i>59.5%</i>	<i>61.7%</i>
Potential adjustments		
9 CEO & Controller compensation	(100)	(100)
10 Run-rate payroll expenses	5	32
11 Remove non-operating related party transactions	-	(10)
12 Exclude intercompany transactions not eliminated by Management	0	6
13 COGS true-up	-	(6)
Total potential adjustments	(95)	(77)
EBITDA, potentially adjusted	811	778
<i>EBITDA margin, potentially adjusted</i>	<i>54.2%</i>	<i>56.8%</i>
Other considerations		
a. Bi-annual conferences	<i>n.q.</i>	<i>n.q.</i>
b. New lease costs	<i>n.q.</i>	<i>n.q.</i>

Source: QuickBooks transaction details provided by Management; KPMG analysis

Potential adjustments (continued)

11. **Remove non-operating related party transactions:** Represents a revenue amount recorded for a transaction with Progressive Fitness Inc. (an entity owned by Janee and Glen Henderson) and is excluded from EBITDA on the basis it is non-operating.
12. **Exclude intercompany transactions not eliminated by Management:** This adjustment excludes additional intercompany sales that were not eliminated by Management. This adjustment also corrects Management adjustment #7 resulting in a net \$nil impact to EBITDA.
13. **COGS true-up:** This adjustment represents the COGS true-up to Management adjustment #3 in order to reconcile to supporting vendor invoices provided by Management.

Other considerations

- a. **Bi-annual conferences:** Management represents that sales and expenses are higher with each bi-annual conference that the Company holds with its franchisees (most recently occurring on 26-Jun-16 with the next on schedule for 23-Jun-18). Sales typically rise at the time following the conference as franchisees pay for required merchandise purchases. Expenses typically rise leading up to the conference as the Company builds up inventory and prepays for certain conference expenses (e.g. hotels, flights, speakers, etc.).

According to Management, conference-related transactions are not separately tracked in QuickBooks. Therefore, we are unable to isolate the financial impact these conferences have had on the Company and normalize the results over FY16 and FY17. Note that out of period prepaid conference expenses recognized in FY17 were adjusted as part of Management adjustment #6.

- b. **New lease costs:** The Company currently rents its office space, the lease for which is set to expire on August 16, 2018. You should consider the impact to EBITDA of any changes in lease costs upon renewal of the current agreement or renting at a new location.



Appendices

1. Engagement letter procedures
2. Personal expenses borne by the Company
3. Indicative working capital build-up
4. Recast income statement
5. Cash flow proof

Appendix 1

Engagement letter procedures (1/2)

Crossed out procedures were not performed due to data and information limitations. Refer to further discussions within the key findings of the report.

Financial due diligence

1. Overview:

Meet with Round Star's officers and management in order to develop an understanding of operations, including its:

- a) Organization structure;
- b) Historical growth by business/segment/geography;
- c) Acquisition history and impact on run-rate EBITDA; and
- d) Finance function, financial reporting framework and internal control environment.

2. Consistency of accounting policies:

Consider if the following accounting policies have been applied consistently within and across historical periods:

- a) Revenue recognition;
- b) Significant accounting estimates (e.g. allowance for doubtful accounts);
- c) Capitalization policies;
- d) Depreciation policies; and
- e) Recent or contemplated changes in accounting principles, procedures or estimates and provisions.

3. Quality / sustainability of earnings:

Obtain details on Target's historical financial performance and propose potential adjustments to historical earnings before interest taxes, depreciation, amortization ("EBITDA") for FY16, FY17 and YTD18 by considering:

- a) The impact of the normalization adjustments identified by Management, if any;
- b) The impact of any changes to senior management or management team structure;
- c) The impact of significant new location openings;
- d) The impact of sponsorship agreements;
- e) The impact of provisions, management estimates or adjusting entries on the reported results;

- f) Any other unusual or non-recurring events or transactions that may have distorted results.

Supporting analyses to quality / sustainability of earnings

4. Revenue and profitability trends

Obtain revenue, profitability and comment on:

- a) ~~Revenue and profitability by program offering.~~
- b) ~~Impact of seasonality, if any;~~
- c) Any non-recurring components of revenue; and
- d) Cut off procedures.

Operating expenses

Obtain and read an analysis of expenses and inquire about:

- a) Direct costs (coaching, equipment, facility rent);
- b) Selling, general, and administrative expenses;
- c) Human resource expenses;
- d) Rent and utilities expense;
- e) Historical operating expense trend as a % of revenue; and
- f) Unusual and extraordinary items.

6. Working capital

- a) ~~Comment on working capital trends for the past 24 months;~~
- b) ~~Adjust working capital for any significant items which are considered to be non-recurring in nature;~~
- c) ~~Comment on the seasonality of working capital;~~
- d) ~~Comment on cash management procedures; and~~
- e) ~~Understand trade ratio trends (e.g. days payable outstanding).~~

Engagement letter procedures (2/2)

Crossed out procedures were not performed due to data and information limitations. Refer to further discussions within the key findings of the report.

Supporting analyses to working capital

7. Accounts receivable

Obtain and read an analysis of accounts receivable and inquire and comment on:

- a) Trade and non-trade balances;
- b) Aging analysis and turnover analysis; and
- c) Allowance for uncollectible accounts and write-offs.

8. Other assets

Analyze a summary of other assets (including prepaid expenses) and comment on unusual items, significant fluctuations and significant balances.

9. Accounts payable, accrued compensation and liabilities

Obtain and read an analysis of accounts payable and accrued compensation and liabilities and inquire about:

- a) Accounts payable aging and days outstanding;
- b) Accrued liabilities;
- c) Other current and non-current liabilities.

10. Capital expenditure and fixed assets

Obtain and read an analysis of historic and future capital cost requirements if any:

- a) Historical, deferred, and planned capital expenditures;
- b) Comment on carrying amount of PP&E and depreciation policy.

11. Net Debt

Identify and summarize debt and debt-like items. In addition, summarize historical debt and covenant ratios.

Additional Areas

12. Related Party Transactions

- a) Inquire about and summarize related party transactions including:
- b) Nature and extent of related party transactions; and
- c) Basis of pricing for arrangements with related parties.

13. Commitments and Contingencies

Inquire about significant commitments and contingent liabilities including:

- a) Off-balance sheet liabilities;
- b) Purchase commitments;
- c) Operating and capital leases;
- d) Earn-out arrangements and commitments relating to previous acquisitions, if any;
- e) Incentive compensation and employee benefit obligations;
- f) Expected or contingent liabilities (e.g. environmental, litigation, regulatory and tax); and
- g) Pending or threatened litigation or investigations

Personal expenses borne by the Company (1/3)

Personal expenses borne by the Company		
\$'000	FY16	FY17
a Insurance	76	86
b Consulting fees	30	75
c Travel expenses	125	54
d Automobile expenses	47	39
e Income taxes	18	31
f Dues & subscriptions	13	29
g Meals & entertainment	45	25
h Office supplies	9	18
i Shopping	19	11
j Repairs & maintenance	21	10
k Coaches expense	12	9
l Student loans	9	9
m Telephone expenses	5	7
n Other	50	4
Total personal expenses borne by the Company	479	407

Source: QuickBooks transaction details provided by Management; KPMG analysis

Personal expenses borne by the Company

The following provides additional details on the personal expenses that compose Management adjustment #1:

- a. **Insurance:** Represents the owners' life, health, and automobile insurance costs as detailed in the table below. According to Management, the Company did not pay for any employee health insurance over the Historical Period.

a. Insurance		
\$'000	FY16	FY17
Life insurance	53	50
Health insurance	12	24
Automobile insurance	9	12
General insurance	1	-
Total insurance add-back	76	86

Source: QuickBooks transaction details provided by Management; KPMG analysis

- b. **Consulting fees:** Management added back distributions made to owners' children who are uninvolved in the business via consulting fees on the basis they will not continue post-transaction.
- c. **Travel expenses:** Relate to personal flights and hotels. Travel costs that Management could not identify as non-operating were excluded from this adjustment and remain in adjusted EBITDA. Refer to the adjacent table for further details.

c. Travel expenses		
\$'000	FY16	FY17
Virgin Atlantic	-	12
Fox Moving	-	11
Royal Caribbean	-	6
Marriott	35	5
Delta	10	4
South West Airlines	4	1
United	23	-
United Airlines	13	-
Other	41	15
Total travel add-back	125	54

Source: QuickBooks transaction details provided by Management; KPMG analysis

Personal expenses borne by the Company (2/3)

Personal expenses borne by the Company		
\$'000	FY16	FY17
a Insurance	76	86
b Consulting fees	30	75
c Travel expenses	125	54
d Automobile expenses	47	39
e Income taxes	18	31
f Dues & subscriptions	13	29
g Meals & entertainment	45	25
h Office supplies	9	18
i Shopping	19	11
j Repairs & maintenance	21	10
k Coaches expense	12	9
l Student loans	9	9
m Telephone expenses	5	7
n Other	50	4
Total personal expenses borne by the Company	479	407

Source: QuickBooks transaction details provided by Management; KPMG analysis

Personal expenses borne by the Company (continued)

- d. **Automobile expenses:** Relate to costs incurred by the Company for the owners' personal vehicles and vacation rental cars. Management represents that no vehicles are used for business purposes, and no employees are provided automobiles. As such, the entire "automobile expenses" account balance was removed from EBITDA.
- e. **Income taxes:** Management added back the owners' personal taxes that are paid by the Company. The taxes considered necessary to operate the business, such as franchise tax and sales tax, remain in adjusted EBITDA.
- f. **Dues & subscriptions:** Management added back golf membership dues and HOA fees on the owners' home on the basis expenses of this nature will not be incurred post-close. The dues and subscriptions that remain in adjusted EBITDA are misnomers and actually relate to lead generations from the Company's website.
- g. **Meals & entertainment:** Relates to costs incurred while dining out, for groceries, and entertainment. Management represents that no costs of this nature are incurred for business purposes, therefore, the entire "meals & entertainment" account balance was removed from EBITDA. Refer to the table below for further details:

g. Meals & entertainment		
\$'000	FY16	FY17
Whole Foods	8	7
Ticket Master	-	2
Stoney River	0	1
El Sombrero	2	1
Brick Tops	2	1
Jets Pizza	2	0
Stoney River	3	0
Vivid Seats	2	-
Other	27	12
Total meals & entertainment add-back	45	25

Source: QuickBooks transaction details provided by Management; KPMG analysis

Personal expenses borne by the Company (3/3)

Personal expenses borne by the Company		
\$'000	FY16	FY17
a Insurance	76	86
b Consulting fees	30	75
c Travel expenses	125	54
d Automobile expenses	47	39
e Income taxes	18	31
f Dues & subscriptions	13	29
g Meals & entertainment	45	25
h Office supplies	9	18
i Shopping	19	11
j Repairs & maintenance	21	10
k Coaches expense	12	9
l Student loans	9	9
m Telephone expenses	5	7
n Other	50	4
Total personal expenses borne by the Company	479	407

Source: QuickBooks transaction details provided by Management; KPMG analysis

Personal expenses borne by the Company (continued)

- h. **Office supplies:** Represent the owners' personal office supplies. The office supplies expense remaining in adjusted EBITDA relate to purchases from one of the Company's vendors, Quill's. According to Management, advertising funds spent on office supplies must be purchased from Quill's pursuant to the franchise agreement, therefore, these expenses have not been removed on the basis they are recurring and operating in nature.
- i. **Shopping:** Represent the owners' personal shopping expenditures recorded to "Gifts" and "Uniforms" on the income statement for which the entire balances have been removed from adjusted EBITDA.
- j. **Repairs & maintenance:** Represents babysitter costs as well as repairs and maintenance incurred on the owners' home. This adjustment removes the entire balance from EBITDA.
- k. **Coaches expenses:** Represents additional babysitter costs recorded to "Coaches expense" and fees paid to a yoga instructor. This adjustment removes the entire balance from EBITDA.
- l. **Student loans:** Management added back all costs incurred for student loans as they relate to the owners' children and are considered non-operating.
- m. **Telephone expenses:** Represents costs borne by the Company for the owners' family phone plan. Telephone expenses that remain in adjusted EBITDA relate to the Company's virtual business phone system and are therefore operating in nature.
- n. **Other:** The FY16 adjustment relates to expenses paid by the Company to the owners' children (who are not involved in the business). The FY17 adjustment mainly represents personal costs for theater tickets.

Appendix 3

Indicative working capital build-up

Indicative NWC				
	As at		Average	
\$'000	31-Dec-16	31-Dec-17	FY16	FY17
Current assets				
a Accounts receivable	113	116	114	121
b Inventory	11	15	23	23
Total current assets	123	131	137	145
Current liabilities				
c Accounts payable	(13)	(12)	(28)	(21)
d Deferred revenue	-	(3)	(7)	(10)
Total current liabilities	(13)	(15)	(35)	(32)
Net working capital	110	116	102	113

Source: QuickBooks transaction details provided by Management; KPMG analysis

Indicative working capital build-up

The adjacent table presents an indicative net working capital analysis at 31-Dec-16 and 31-Dec-17. See below for the assumptions used to create this view. Note the analysis is presented for indicative purposes and any changes to the assumptions applied may alter the analysis accordingly.

- a. **Accounts receivable:** Refer to the table below for the build-up of indicative AR:

Indicative accounts receivable				
	As at		Average	
\$'000	31-Dec-16	31-Dec-17	FY16	FY17
Existing franchises	63	59	52	56
Merchandise sales	12	13	33	29
New franchises	23	30	16	23
Advertising funds	15	14	13	14
Indicative AR	113	116	114	121

Source: QuickBooks transaction details provided by Management; KPMG analysis

- **Existing franchises:** Mainly represents royalties and technology maintenance fees that are payable by the franchisees on the second day following the month in which they were earned. Therefore, monthly AR is assumed to be equal to the corresponding revenue recorded from existing franchises in the month.
 - **Merchandise sales:** DSO on merchandise sales is assumed to be 30 days.
 - **New franchises:** Relates to initial franchise fee revenue and transfer fee revenue. Average AR is mainly driven by three franchisees that transferred during the historical period and have yet to pay at 31-Dec-17.
 - **Advertising funds:** Payable with royalties, therefore, monthly AR is assumed to be equal to the corresponding NAF revenue recorded in the month.
- b. **Inventory:** DIO of AA Inc.'s merchandise is assumed to be 60 days.
- c. **Accounts payable:** DPO is assumed to be 30 days on the Company's main purchases including inventory, advertising and promotional spending, professional fees, and office supplies.
- d. **Deferred revenue:** NAF revenues collected but unspent at each month-end date should be recorded as deferred revenue.

Appendix 4

Recast income statement

Recast income statement											
	FY16						FY17				
	Reported IS	Mgmt adjustments	Mgmt adjusted IS	Potential adjustments	Potentially adjusted IS		Reported IS	Mgmt adjustments	Mgmt adjusted IS	Potential adjustments	Potentially adjusted IS
\$'000											
Sales											
Advertising fund	161	-	161	-	161		163	-	163	(1)	163
Consulting fee income	-	-	-	-	-		243	(243)	-	-	-
Deposit	0	(0)	-	-	-		-	-	-	-	-
Existing franchises	633	-	633	(6)	627		680	-	680	(5)	675
Merchandise	418	-	418	(20)	398		358	-	358	(12)	346
New franchise	308	-	308	-	308		184	-	184	-	184
Sales	1,522	(0)	1,521	(26)	1,495		1,629	(243)	1,386	(18)	1,368
COGS	(71)	(66)	(138)	-	(138)		(45)	(90)	(135)	(6)	(141)
Gross profit	1,450	(67)	1,384	(26)	1,358		1,584	(333)	1,251	(24)	1,227
SG&A											
Admin	(4)	-	(4)	4	-		(6)	-	(6)	6	-
Advertising and promotion	(159)	50	(109)	22	(87)		(69)	9	(61)	2	(59)
Automobile expense	(47)	47	-	-	-		(39)	39	(0)	-	(0)
Bank service charges	1	-	1	-	1		(36)	32	(4)	-	(4)
Coaches expense	(12)	12	-	-	-		(9)	9	-	-	-
Computer & internet expenses	(25)	-	(25)	-	(25)		(56)	44	(12)	3	(10)
Conference expense	(25)	-	(25)	-	(25)		(18)	14	(4)	-	(4)
Consulting fees	(39)	30	(9)	-	(9)		(452)	436	(16)	-	(16)
Depreciation expense	(45)	45	-	-	-		-	-	-	-	-
Donations	(1)	-	(1)	-	(1)		(1)	-	(1)	-	(1)
Dues & subscriptions	(23)	13	(10)	-	(10)		(32)	29	(3)	-	(3)
Gift	(13)	13	-	-	-		(5)	5	-	-	-
Independant contractor	(17)	-	(17)	-	(17)		(16)	-	(16)	-	(16)
Insurance expense	(76)	76	-	-	-		(92)	86	(6)	-	(6)
Management fees	(150)	150	-	-	-		-	-	-	-	-
Marketing	-	-	-	-	-		(2)	-	(2)	2	-
Meals & entertainment	(45)	45	-	-	-		(25)	25	-	-	-
Merchant fees	(9)	-	(9)	-	(9)		(4)	-	(4)	-	(4)
Office supplies	(61)	9	(52)	-	(52)		(34)	18	(16)	1	(15)
Payroll expenses	(290)	158	(132)	(95)	(227)		(322)	163	(159)	(68)	(227)
Postage & shipping	-	-	-	-	-		-	-	-	-	-
Professional fees	(26)	-	(26)	-	(26)		(26)	-	(26)	-	(26)
Rent expense	(105)	60	(45)	-	(45)		(72)	26	(46)	-	(46)
Repairs & maintenance	(21)	21	(0)	-	(0)		(11)	10	(0)	-	(0)
Student loans	(9)	9	-	-	-		(9)	9	-	-	-
Tax	(21)	18	(3)	-	(3)		(33)	31	(2)	-	(2)
Telephone expense	(5)	5	(0)	-	(0)		(7)	7	(0)	-	(0)
Travel expense	(135)	125	(10)	-	(10)		(58)	54	(5)	1	(4)
Uniforms	(7)	7	-	-	-		(6)	6	-	-	-
Utilities	(3)	-	(3)	-	(3)		(4)	-	(4)	-	(4)
SG&A	(1,371)	892	(478)	(68)	(547)		(1,447)	1,051	(396)	(53)	(449)
Net income / (loss)	80	826	905	(95)	811		137	718	855	(77)	778

Source: QuickBooks transaction details provided by Management; KPMG analysis



Appendix 5

Cash flow proof

Revenue proof		
\$'000	FY16	FY17
Cash receipts per bank statements	2,389	1,926
Exclude: Intercompany bank transfers	(908)	(299)
Adjusted cash receipts per bank statements	1,480	1,627
Reported revenue per QuickBooks	1,522	1,629
Variance (\$'000)	(42)	(2)
Variance (%)	(2.7%)	(0.1%)

A
B
C = A-B
= C/B

The adjacent tables present a cash flow proof whereby cash receipts and disbursements from the Company's monthly bank statements were reconciled to revenues and expenses recorded in QuickBooks.

Main reconciling items include intercompany bank transfers and personal expenses that were reflected on the bank statements, but not recorded in QuickBooks.

Expense proof		
\$'000	FY16	FY17
Cash disbursements per bank statements	(2,353)	(1,964)
Bank adjustments		
Exclude: Intercompany bank transfers	649	207
Exclude: Cash disbursements not recorded in QuickBooks	247	177
Exclude: AmEx payment recorded as cost recovery in QuickBooks	-	58
Include: Depreciation not reflected on bank statements	(45)	-
Total bank adjustments	851	442
Adjusted cash disbursements per bank statements	(1,502)	(1,522)
Reported expenses per QuickBooks	(1,442)	(1,492)
Variance (\$'000)	(60)	(30)
Variance (%)	4%	2%

D
E
F = D-E
= F/E

Source: QuickBooks transaction details; Bank statements; KPMG analysis



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